

and are seen as kinds of deities in the business. These people have my highest respect for their success and pioneer work in our field, but this book is not about hero worship and it does not dwell on strategies that worked in the 1970s but might be financial suicide to run in the same shape today. The market has changed and the hedge-fund industry even more so, and I intend to focus on what I see as viable strategies in the current financial marketplace.

This is not a textbook where every possible strategy and indicator is explored in depth with comparisons of the pros and cons of exponential moving average to simple moving average, to adaptive moving average, and so on. I don't describe every trading indicator I can think of or invent new ones and name them after myself. You don't need a whole bag of technical indicators to construct a solid trend-following strategy and it certainly does not add anything to the field if I change a few details of some formula and call the new one by my own name, although I have to admit that 'The Clenow Oscillator' does have a certain ring to it. Indicators are not important and focusing on these details is likely to be the easiest way to miss the whole plot and get stuck in nonsense curve fitting and over-optimisations. I intend to do the absolute opposite and use only the most basic methods and indicators to show how you can construct strategies good enough to use in professional hedge funds without having unnecessary complexity. The buy and sell rules are the least important part of a strategy and focusing on them would serve only to distract from where the real value comes.

Also, this is not a get-rich-quick book. If you are looking for a quick and easy way to get rich, you'll need to look elsewhere. One of my main points in this book is that it is not terribly difficult to create a trading strategy that can rival many large futures hedge funds but that absolutely does not mean that this is an easy business. Creating a trading strategy is only one step of many and I even provide trading rules in this book that perform very well over time and have return profiles that are marketable to seasoned institutional investors. That is only part of the work, though, and if you don't do your homework properly, you will most likely end up either not getting any investments in the first place or blowing up your own and your investors' money at the first sign of market trouble.

To be able to use the knowledge I pass on here, you need to put in some really hard work. Don't take anyone's word when it comes to trading strategies, not even mine. You need to invest in a good market data infrastructure, including effective simulation software and study a proper programming language, if you don't already know one. Then you can start replicating the